

before you trade it, you'll be right 67% of the time in bull markets on average.

Place a buy stop a penny above the top of the horn and ride price higher. In bull markets, the average gain of a single busted pattern is 67% (from [Table 44.9](#)).

Tips. I only have a few tips to share with you. I've written that you should avoid shorting stocks making new highs and go for those making new lows. However, horn tops seem to fail a lot down there (near the yearly low or even a multiyear low).

I checked the statistics, and they say I'm crazy. Horns within a third of the yearly low fail 6% of the time. Those near the yearly high fail twice as often: 12% of the time. The middle third comes in at 9% failing.

Maybe we're both right. Price drops more than 5% but then recovers, leaving not much profit behind if you trade it perfectly. And if you're a mere mortal, then forget about making money. Do your own research to check if my notion is right or wrong.

- Short stocks making new lows, not new highs, but horns may not work as well down there.

I have noticed that for swing trades, you only make a little profit when you're right and shooting for a nearby support area. If the trade goes against you, with a stop at the top of the horn, it's painful, meaning the loss is so much larger than the potential profit. So do check the size of the potential profit versus the size of the potential loss. If the ratio is yucky, then don't trade it or adjust the stop location.

- Check the potential profit versus loss before trading to see if it's worth the risk of a trade.

When horn trades work, they tend to do so quickly. Down price goes. When they fail, they can do so immediately. However, if I see price starting to move sideways (often for weeks to months), that tells me the trade is going to be a loser. Exit immediately.